

Organization and Management Exam Notes

ME 708 · IV-I (BEL, BEX, BCT, BEI) · TU, IOE · tiers over 29 papers, 2065–2082 BS

2. Personnel Management

8 hrs · asked in **all 29 papers** · 7 syllabus topics · **404 marks, 17.1% of the archive** → about 9 of every 80 marks, nearly always one full 8-mark question.

READ THIS FIRST

Chapter 2 follows the life of an employee: **plan** how many people are needed → **analyse** the job → **recruit and select** → **train** → **appraise** → **pay**. Every question picks two stops on that line.

- Four lists carry the chapter:** definition + functions of personnel management (17 papers), recruitment and selection steps (13), factors affecting wage and salary structure (12), job analysis with job description and specification (10).
- Personnel policy** (7 papers) is always asked from the new employee's side: "why discuss the handbook at hiring?"
- No numerical has ever been set**, but "how are wages calculated?" (75 Ch) is answered by the incentive-plan formulas in §2.7, each with one worked example.

Tier chips count **papers out of 29**: **TOP n/29** 8+ **HOT n/29** 4–7 **PIN n/29** 1–3 inside an 8-mark question **LOW n/29** 1–3, short note only. Bold year = Regular exam.

2.1 Personnel Management: Meaning, Functions, Role

Define personnel management. Explain its functions and its role in the organization **1 2 3 4 5 8**

TOP 17/29 82 Bh, 81 Ba, 80 Bh, 80 Ba, 76 Ch, 76 Ash, 75 Ch, 75 Ash, 74 Ash, 72 Ka, 71 Ch, 71 Shr, 70 Ch, 70 Asa, 68 Ch, 68 Ba, 65 Shr · **the most asked question of the chapter**

- **Flippo**: "the planning, organizing, directing and controlling of the **procurement, development, compensation, integration and maintenance** of personnel, to accomplish organizational, individual and social goals."
- Simple: the part of management that **obtains, develops, uses and keeps a satisfied workforce**. Also called human resource management.
- **Three-part view**: the part of management dealing with human resources:
 - their **procurement**;
 - their **development** in skills, knowledge, attitude;
 - their **motivation** toward objectives, by keeping a climate that favours such development.

Aims

- Get the best out of people.
- Maximum individual development.
- Better service to society.
- Good labour relations.

Three aspects (AJ Sir)

- **Welfare**: working conditions, canteen, housing, health, safety.
- **Labour / personnel**: recruitment, pay, promotion, training.
- **Industrial relations**: unions, disputes, collective bargaining.

Characteristics

1. Part of general management.
2. Has its own principles and policies.
3. Humanistic: deals with people, not things.
4. A philosophy of management: how the firm treats its people.
5. Carries **advisory, executive and administrative** responsibilities.

Managerial functions

- **Planning:** manpower needs, policies, programmes.
- **Organizing:** structure of the HR department, tasks.
- **Directing:** motivating, guiding employees.
- **Coordinating and controlling:** audit of HR results against plan.

Role in the organization

- Supplies the **right people** at the right time.
- Builds **skills** (training) → productivity.
- **Fair pay**, incentives → motivation, low turnover.
- **Industrial peace:** handles grievances, unions.
- **Welfare and safety** → morale, fewer accidents.
- Advises line managers; keeps records; ensures labour-law compliance (Labour Act 2074 in Nepal).
- Aligns people with strategy → growth and development of the firm.

Adhikari's list of functions (write it for “functions” at 5 marks)

1. Develop personnel policy.
2. Manpower planning.
3. Recruitment and selection.
4. Analysis, description and valuation of work.
5. Compensation and appraisal schemes.
6. Personnel records.
7. Welfare and safety programmes.
8. Training and development.
9. Wage and salary administration.
10. Collective bargaining with unions.
11. Promotion, transfer, retirement.

Operative functions

1. **Procurement:** manpower planning, job analysis, recruitment, selection, placement, induction.
2. **Development:** training, executive development, career planning, promotion.
3. **Compensation:** job evaluation, wage and salary administration, incentives.
4. **Integration:** reconcile employee and organizational interests: communication, grievance handling, collective bargaining.
5. **Maintenance:** health, safety, welfare, social security, ergonomics.
6. **Motivation:** monetary and non-monetary incentives.
7. **Records and separation:** personnel records, transfers, retirement, exit.

Principles of personnel management

1. **Scientific selection:** right person for the right job.
2. **Fair reward:** pay matched to work and market.
3. **High morale:** satisfied, willing workers.
4. **Dignity of labour:** respect every job.
5. **Team spirit** among employees.
6. **Effective communication** both ways.
7. **Joint management:** workers consulted on decisions affecting them.
8. **Effective utilization** of each person's ability.
9. **Maximum individual development.**
10. **National prosperity** through productive industry.

How does human resource management differ from personnel management? 2

PIN 1/29 71 Ch verified/added

Basis	Personnel management	Human resource management
View of people	Cost, a tool	Asset, a resource to develop
Nature	Routine, administrative, reactive	Strategic, proactive
Focus	Rules, records, compliance, pay	Development, motivation, culture, performance
Job design	Division of labour	Teamwork, empowerment
Responsibility	Personnel department only	All line managers share it

2.2 Personnel Policy

Personnel policy: what it must include, its importance, and why it is discussed with new employees

3 4 5 8

HOT 7/29 82 Bh, 80 Ba, 79 Bh, 75 Ash, 74 Ch, 74 Ash, 73 Shr · 79 Bh asks it twice (policies; discussing at hiring)

- **Personnel policy (employee handbook):** written statement of what the employer expects from employees and what they may expect in return. A **guide for quick, consistent decisions**; a means to an end, not an objective.
- Eg a “promotion from within” policy serves the objective of employee development.
- Objectives: maximum development and use of workers' abilities; good labour relations; protect interests of labour and customers.

Terms a good personnel policy includes

1. Welcome message; company name, history, values, objectives, structure.
2. **Recruitment and selection:** sources, procedure, probation.
3. **Working hours,** attendance, leave (sick, annual, holidays).
4. **Pay:** salary structure, allowances, overtime, incentives, bonus.
5. **Benefits:** insurance, provident fund, gratuity, pension, education aid.
6. **Training** and development; **promotion and transfer** policy.
7. **Code of conduct:** discipline, dress, harassment, conflict of interest.
8. **Health and safety;** accident procedure.
9. **Grievance procedure;** union and collective bargaining.
10. **Separation:** resignation notice, retirement, dismissal, exit process.

Importance

- **Consistency and fairness:** same rule for everyone → trust.
- Quick decisions by managers without referring upward.
- Reduces conflict and grievances; legal protection for both sides.
- Attracts and retains good staff; builds culture.

Why discuss it at hiring / with new employees

- Employee knows **rights and duties** from day one: pay, leave, benefits, discipline.
- **No surprises** later → fewer disputes, lower early turnover.
- Part of **induction:** faster adjustment, sense of belonging.
- Written acknowledgement protects the employer legally.
- Clarifies expectations on conduct, safety, harassment.

2.3 Manpower Planning

Manpower (human resource) planning: meaning, steps, and why it is needed 3 4 8

TOP 8/29 81 Bh, 81 Ba, 80 Ba, 79 Bh, 76 Ch, 76 Ash, 75 Ch, 73 Shr · short note in 75 Ch

- **Definition:** the process of having the **right number** of the **right kind** of people at the **right place** and **right time**, doing the jobs they suit. Formally: “the scientific process of allocating the right quantity of right men required in future at right time on the right job”.
- **Manpower** = total skills, knowledge, talent, creativity and values of the workforce.
- Two objectives: **use present employees fully; fill future needs**.
- Types: macro (national) vs micro (firm); short, medium, long term.
- **Factors** affecting the estimate:
 - Working hours and shifts.
 - Nature of production and product mix.
 - Performance rate of workers.
 - Hours lost to absenteeism; labour turnover.

Steps of the HR planning process

Manpower planning process



Importance / need

- **No shortage, no surplus:** avoids idle labour and overload.
- **Cuts labour cost;** right people raise productivity.
- Anticipates **retirement, turnover, expansion:** vacancies filled in time.
- Basis for **recruitment, training, career planning**.
- Copes with **technological change:** new skills planned ahead.
- Attracts talent; supports succession planning.
- Nepal: high outmigration of skilled youth → planning replacements and retention is essential.

Notes on the steps (left)

- **Demand** depends on workload, expansion, technology, budget.
- **Supply:** internal (promotion, transfer, retirement, turnover) and external (labour market).
- **Net requirement** = demand – supply: shortage → recruit or train; surplus → redeploy or downsize.

Adhikari's version of the steps

1. Understand the business activities.
2. Identify the tasks.
3. Forecast manpower.
4. Job analysis.
5. Review existing manpower.
6. Anticipate supply from outside.
7. Manpower management (act on the gap).

2.4 Recruitment and Selection

Explain the process of recruitment and selection of manpower (steps of hiring); scientific selection 3

5 6 8

TOP 13/29 82 Ba, 81 Ba, 80 Bh, 79 Bh, 78 Bh, 72 Ch, 71 Ch, 71 Shr, 69 Ch, 68 Ch, 67 Asa, 66 Bh, 65 Shr

- **Recruitment:** searching for prospective employees and **stimulating them to apply**; creates a pool (positive process).
Dale S. Beach: “the development and maintenance of adequate manpower resources. It involves the creation of a pool of available labor upon whom the organization can depend when it needs additional employees.”
- **Selection:** **choosing** the most suitable from the pool by eliminating the rest (negative process).
- **Hiring:** the final act of appointing, with offer, contract, placement.

Steps of recruitment and selection

Selection procedure



Notes on the steps

- **Before step 1:** job analysis, job description and a staff requisition fix what is needed; the vacancy is **advertised** (title, duties, qualification, deadline).
- **Screening and preliminary interview** drop the plainly unfit early and cheaply.
- **Employment tests:** intelligence, trade, psychological, aptitude, interest, personality.
- **Employment interview:** HR first, then the department head.
- **Reference check:** former employers, teachers; background verification.
- **Final selection:** offer letter, appointment, contract.
- **Placement and induction:** orientation, handbook (add these when the question says “steps of hiring”).
- Each step **eliminates**: selection is a series of hurdles, which is why it is called a negative process.

Sources of recruitment

- **Internal:** promotion, transfer, internal posting, former employees, employee referrals.
- **External:** advertisement (newspaper, websites like merojob, LinkedIn), campus recruitment, employment agencies, walk-ins, unions, consultants.

Scientific selection

- Taylor’s principle: **right person for the right job**, one who maintains the output with least effort.
- Selection by **objective tests and standards**, not favour or guess.
- **Methods:** psychological and aptitude tests, trade tests, structured interviews, work samples, assessment centres, medical tests.

Fitness factors checked

- **Physical:** sound body, limbs, height, weight, eyesight.
- **Personal:** age, sex, marital status, experience, family.
- **Proficiency:** skill and ability now: the basic fit.
- **Competency:** potential to learn and become proficient.
- **Temperament, character; vocational interest.**

Outsourcing 2 3

PIN 2/29 80 Bh, 69 Ch verified/added

- Contracting a function to an **outside firm** instead of hiring staff for it.
- Eg security, cleaning, payroll, IT support, call centres; Nepal’s IT firms do outsourced work for foreign clients.
- In recruitment: an agency does the hiring, or staff are supplied by a manpower company.

Recruitment vs selection vs hiring

Basis	Recruitment	Selection / hiring
Aim	Attract many applicants	Pick the best, appoint
Nature	Positive	Negative (eliminating)
Order	First	After recruitment
Output	Pool of candidates	Employee with contract

Advantages

- Lower cost: no salaries, benefits, training for that function.
- Specialist skill and technology of the vendor.
- Management focuses on core work.
- Flexible headcount: scale up or down by contract.

Disadvantages

- Less control over quality and timing.
- Confidentiality and data risk.
- Dependence on one vendor.
- Staff morale falls if jobs are cut.

Referral recruitment: pros and cons 4

PIN 1/29 74 Ch verified/added

- Existing employees recommend candidates, often for a referral bonus.

Pros

- Fast and cheap: no advertising cost.
- Pre-screened, trusted candidates.
- Better cultural fit; referred staff stay longer.
- Referral bonus motivates existing staff.
- Use it with the same tests and interviews as other candidates.

Cons

- Nepotism and favouritism.
- Less diversity: people refer people like themselves.
- Conflict if the referral fails or is rejected.
- Closes the door to better outside talent.

Role of interview in hiring; the interviewing process 3

PIN 2/29 75 Ch, 73 Ch

- **Role:** get the maximum information about the candidate's suitability that tests cannot show: communication, attitude, confidence, motivation, fit with team.
- Two-way: candidate learns about the job and firm.
- Types: preliminary, structured, unstructured, panel, stress, technical, online.

Interviewing process

1. **Preparation:** study job description and application; set questions.
2. **Reception:** put candidate at ease.
3. **Information exchange:** questions on knowledge, experience, attitude.
4. **Close:** candidate's questions, next steps.
5. **Evaluation:** rate on a standard form.

2.5 Training and Development

Training and development: meaning, need, methods, and how training needs are identified 2 3 4 5

HOT 5/29 82 Ba, 81 Bh, 79 Bh, 72 Ch, 71 Shr

- **Training:** planned learning of **specific knowledge and skills** to do the **present job** better; short term; mainly for workers.
- **Development:** long-term education for **future roles**, conceptual and managerial growth; mainly for executives.
- **Training, formally:** "a well thought and well planned process of conscious learning of new knowledge and skills for improving the learner's ability to perform certain tasks more efficiently and effectively, in the immediate or near future, with active support of some other individuals."
- **Development, formally:** long-term, systematic process by which managers gain conceptual and theoretical knowledge; an executive development programme raises their capability to achieve objectives.
- Objectives: disseminate knowledge, develop skills, change attitudes.

Need / role (esp. for new employees)

- New hires become productive in the **minimum time**; no learning by mistakes.
- **Higher productivity**, quality; less wastage and spoilage.
- **Fewer accidents**, less machine breakdown.
- **Less supervision** needed.
- **Morale, job satisfaction**; lower turnover and absenteeism.
- Keeps pace with **new technology**; flexibility.
- Career growth, higher earnings; builds future managers.

Identifying training needs

- **Organization analysis**: goals, problems (low output, high scrap, accidents).
- **Task analysis**: job description vs skills required.
- **Person analysis**: performance appraisal gaps, supervisor reports, self-assessment.
- Other signals: complaints, new machines, promotions, surveys, exit interviews.

Methods: workers

- **Demonstration**: instructor actually shows how to do the task; small shops, auto repair workshops (Eg how to do a job on a centre lathe).
- **On-the-job**: supervisor instructs a new worker at the machine: nature of work, tools, safety; shows how an experienced worker does it. Most realistic.
- **Vestibule**: a separate training school duplicating, as nearly as possible, the real equipment, materials and conditions; many trainees, no production pressure; costly.
- **Apprenticeship**: long, for all-round craftsmen (machinists, tool makers, millwrights, fitters, welders); best for large firms with steady demand for skill.
- **Special courses**: knowledge-based, in-house or outside institutes.

Methods: supervisors

- Induction and orientation.
- Lecture (classroom); conference.
- Written instruction.
- Training within industry (TWI).

Methods: executives

- **On the job**:
 - Understudy (appointed assistant to a manager).
 - Committee membership; job rotation.
 - Job enlargement / enrichment; MBO.
- **Off the job**: lectures, case study, business games, role playing, seminars, e-learning.

HR problems: talent poaching; short-term employee development programme; appropriate vs inappropriate human resources 4 8

PIN 2/29 79 Ba, 73 Shr verified/added

Tackling talent poaching (79 Ba)

- Competitive pay, reviewed against the market.
- Retention bonus, ESOP, bond or notice clauses.
- Clear career path, promotion from within.
- Training, recognition, good culture, flexible work.
- Stay interviews; fix reasons found in exit interviews.
- Succession planning so no one person is critical.

Short-term development programme

1. Identify skill gaps (appraisal).
2. Set 3–6 month objectives per employee.
3. Workshops, mentoring, job rotation, online courses.
4. Review, reward, plan the next cycle.

Appropriate vs inappropriate human resources (73 Shr)

- **Appropriate**: people whose skills, qualification, attitude and number **match** job requirements → productive, satisfied.
- **Inappropriate**: a mismatch.
 - Over-qualified: bored, leave soon.
 - Under-qualified: errors, need close supervision.
 - Surplus: idle cost.
 - Wrong attitude: conflict, low morale.
- **Ideas to get appropriate HR**:
 - Manpower planning and job analysis.
 - Scientific selection.
 - Training and appraisal.
 - Redeployment of surplus staff.
 - Fair pay to keep the right people.

2.6 Job Analysis, Job Evaluation and Merit Rating

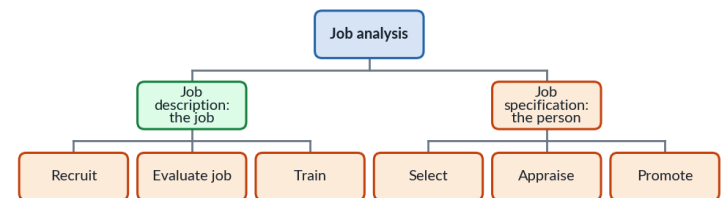
Job analysis: meaning, methods, job description and job specification 2 3 4 5 6

TOP 10/29 82 Bh, 81 Bh, 81 Ba, 79 Bh, 78 Bh, 71 Ch, 68 Ch, 67 Asa, 66 Bh, 65 Shr · job design as a short note in 67 Asa

- **Job:** group of tasks, duties and responsibilities done by one person for pay.
- **Job analysis:** systematic study of a job to find its **tasks** and the **skills, knowledge, abilities and responsibilities** needed to do it well. Answers what, how, why, with what tools, under what conditions.
- Outputs: **job description** (about the job) and **job specification** (about the person). Used for recruitment, training, job evaluation, pay, appraisal.

Data collected in a job analysis

1. Job identification.
 2. Nature of the job: major and other duties.
 3. Operations performed.
 4. Materials and equipment used.
 5. Skill: education, training, responsibility, job knowledge, mental capability, accuracy → degree of difficulty.
 6. Physical demands: activities, working conditions, hazards → effort.
 7. Relation with other jobs.
- **Job:** a regular assignment to one employee, with duties, responsibilities and conditions different from other assignments.
 - The analyst (or a trained supervisor) collects information, prepares the description, then works up the specification.



Job analysis yields the job description and job specification, and each feeds HR decisions.

Steps

1. Collect background info (charts, old descriptions).
2. Select jobs to analyse.
3. **Collect job data** (methods below).
4. Process and verify with job holder and supervisor.
5. Prepare job description.
6. Prepare job specification.

Methods of collecting data

- **Questionnaire:** holders fill structured forms; cheap for many jobs; misunderstanding possible.
- **Interview:** holder describes duties, even unobservable ones; may exaggerate.
- **Observation:** analyst watches the work; firsthand; best for manual jobs; workers may change behaviour.
- **Diary / log, critical incident, technical conference** with experts.

Most suitable in Nepal? (82 Bh)

- **Interview + observation:**
 - Many small firms have no written records.
 - Jobs are manual or mixed, easy to watch.
 - Literacy varies → questionnaires return poor data.
- Large firms and banks can add questionnaires.

Job description (what the job is): identification, summary, work performed

- Job title, code, department, location.
- Job summary (purpose).
- Duties and responsibilities: what, how, why.
- Reporting relationships.
- Machines, tools, materials.
- Working conditions: shifts, hazards.
- Pay grade, benefits.

Job specification (who can do it)

- Education, training, experience.
- Skills, knowledge, abilities.
- Physical and mental requirements.
- Personal qualities (communication, attitude).

Example: Lecturer, engineering college (81 Ba)

- **JD:** title Lecturer, Dept of Electronics; reports to HoD.
 - Teach 16–18 periods/week; prepare lessons.
 - Supervise labs; set and evaluate exams.
 - Guide projects; research and publish; departmental duties.
- **JS:**
 - Master's in relevant engineering, first division; NEC registration.
 - Teaching or industry experience preferred.
 - Communication and presentation skill, lab skills, ethics, research aptitude.

Job design (short note)

- Structuring tasks of a job for productivity and satisfaction:
 - **Simplification:** narrow, easy tasks.
 - **Rotation:** move between jobs.
 - **Enlargement:** more tasks at the same level.
 - **Enrichment:** more responsibility and control.
 - **Ergonomics:** fit the job to the body.

Job evaluation: meaning, methods, and comparison with merit rating 2 3

PIN 2/29 81 Ba, 79 Bh

- Systematic determination of the **relative worth of a job** compared with others → fair, uniform **wage structure**.
- Principles:
 - **Rate the job, not the man.**
 - Uniformity of understanding of the factors.
 - Co-operation from employees.
- **War Manpower Commission (USA):** an accurate job study answers four questions: what does the worker do? how? why? what skill does it take?
- **Non-quantitative methods:**
 - **Ranking:** jobs ranked whole, most to least important; each head ranks his department's jobs, a central committee merges them into grades.
 - **Classification / grading:** jobs slotted into predefined grades.
- **Quantitative methods:**
 - **Factor comparison:** skill, mental effort, physical effort, responsibility, working conditions compared factor by factor with key jobs.
 - **Point rating:** points per factor degree, totals set the grade.

Basis	Job evaluation	Merit rating
Rates	The job	The person doing it
Purpose	Wage structure for the job	Reward, promotion over the base wage
Timing	Before hiring, on job change	Periodically, after hiring
Basis	Job analysis	Actual performance, traits
Output	Job grades	Ranking of employees

Uses of job evaluation

- Fair, consistent wage structure; removes pay anomalies.
- Fewer wage disputes and grievances.
- Basis for wage negotiation with unions.
- Helps place new jobs into existing grades.

Merit rating / performance appraisal: meaning, need, traditional and modern methods 2 4 5 6

HOT 7/29 82 Ba, 81 Bh, 79 Bh, 78 Bh, 70 Ch, 68 Ba, 66 Bh

- **Merit rating:** systematic, periodic assessment of an **employee's worth** in terms of job performance, integrity, leadership, behaviour, aptitude.
- Factors: quality and quantity of work, job knowledge, dependability, attitude, initiative, versatility, leadership.

Why necessary

- Basis for **promotion, transfer, pay rise, bonus**.
- Feedback to employee → improvement.
- Identifies **training needs**.
- Validates selection; objective, fair decisions; motivation.

Traditional methods (trait-based)

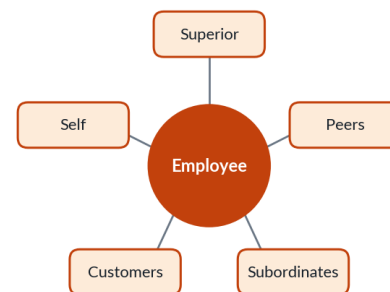
- **Ranking:** best to worst, overall.
- **Paired / person-to-person comparison:** each with every other.
- **Man-to-man comparison:** against key men on 5 traits (physical qualities, personal qualities, intelligence, general value to service, leadership), 5 degrees each.
- **Grading:** predefined grades (outstanding, satisfactory, unsatisfactory).
- **Graphic rating scale:** traits rated on a scale; most common.
- **Checklist:** yes/no statements.
- **Free essay:** supervisor's written description.
- **Critical incident:** record of good and bad events.

Modern methods (result-based)

- **MBO / appraisal by results:** manager and employee jointly set goals, appraise against them.
- **Assessment centre:** simulations, group exercises, in-basket tasks observed by trained assessors; for promotion.
- **360-degree feedback:** from superiors, peers, subordinates, customers, self. verified/added
- **BARS** (behaviourally anchored rating scale): scale points tied to real behaviours. verified/added
- **Human resource accounting:** employee's value in money. verified/added
- **KPI / balanced scorecard** dashboards. verified/added

Merits of modern methods

- Objective, measurable; less bias.
- Employee participates → commitment.
- Links appraisal to goals and development.



360-degree feedback: ratings from every side of the employee.

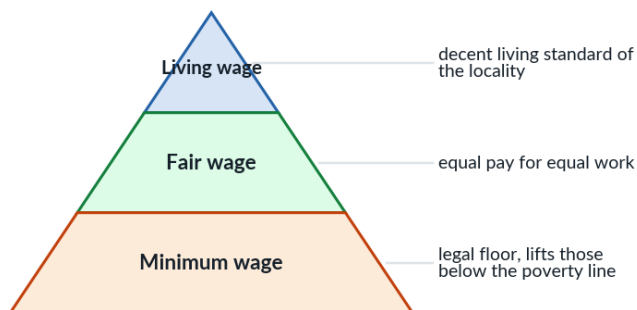
2.7 Wages and Incentives

Wages and salary: difference, factors affecting the wage/salary structure, how wages are calculated, salary and benefits you expect 2 3 4 5 8

TOP 12/29 82 Bh, 82 Ba, 80 Bh, 78 Bh, 76 Ch, 75 Ch, 74 Ash, 73 Ch, 72 Ch, 72 Ka, 70 Asa, 68 Ba

- **Wage:** remuneration for labour, paid per hour, day, week or per unit of output; production and manual workers.
- **Salary:** fixed monthly or annual pay; office, professional, managerial staff.
- **Nominal (money) wage:** cash only. **Real wage:** what the cash buys, plus benefits.
- A wage should meet ordinary needs, give some comforts, and keep the worker's standard of living.
- **Structure:**
 - Job classes / grades from job evaluation.
 - Flat rate or rate range per grade.
 - **Direct pay:** basic, overtime, bonus.
 - **Indirect pay:** insurance, provident fund, gratuity, allowances.

Three layers of wages



Minimum wage is the legal floor (Nepal revises it periodically).

Salary and benefits I would expect (82 Ba, 75 Ch)

- Basic salary at or above market rate for the post, with annual increment.
- Allowances: dearness, transport, communication, festival (Dashain) allowance.
- Provident fund, gratuity / SSF contribution; health and accident insurance.
- Paid leave; overtime; performance bonus.
- Training, career growth; flexible hours. Justify with qualification and market data.

Factors affecting wage / salary structure

1. **Ability of the firm to pay** (profit, size).
2. **Demand and supply** of labour.
3. **Prevailing market rate** for comparable jobs.
4. **Cost of living** (inflation index).
5. **Legal provisions:** minimum wage, Labour Act, SSF.
6. **Job requirements** from job evaluation: skill, effort, responsibility, hazards.
7. **Productivity** (output per man-hour).
8. **Bargaining power** of trade unions.
9. Employee's qualification, experience, seniority.
10. Regularity of employment, working hours, promotion prospects, training cost.

Examples (80 Bh)

- **Supply-demand, market rate:** an IT engineer in Kathmandu earns more than a same-degree engineer in a small town.
- **Legal:** garment workers' pay rises when the government revises the minimum wage.
- **Bargaining power:** a union-negotiated increase at NEA.
- **Cost of living:** dearness allowance raised after inflation.

Incentives: meaning, need, types 2 3 4

TOP 10/29 78 Bh, 76 Ch, 74 Ash, 73 Ch, 72 Ch, 72 Ka, 71 Shr, 70 Asa, 68 Ba, 66 Bh · “incentive programs” short note in 68 Ba, 66 Bh

- **Incentive:** payment or benefit **over and above** normal wage, linked to output or performance above a standard, to motivate higher productivity.
- **Incentive scheme:** a system of wage payment in which the earnings of an employee, a group, or all employees are directly related to output of acceptable quality above a standard, by a predetermined formula.

Why needed

- Raises productivity, lowers unit cost.
- Rewards efficient workers fairly.
- Motivation, morale, job satisfaction.
- Reduces supervision, absenteeism, turnover.
- Attracts and retains talent.

Types

- **Financial:** bonus, profit sharing, commission, piece-rate premium, ESOP.
- **Non-financial:** praise, recognition, promotion, job security, training, flexible hours, better conditions.
- **Semi-financial:** subsidized lunch, medical, recreation, pension.
- **Individual:** based on one person's output (Taylor, Halsey, Rowan).
- **Group:** based on team or plant output (Scanlon, Priestman, profit sharing): efficient workers help slow ones.

How wages are calculated: wage plans and incentive formulas 3

PIN 1/29 75 Ch · no numerical has been set in 29 papers; each formula shown once

Basic plans

- **Time rate:** $\text{wage} = T_a \times R$ (hours worked $\times$ hourly rate). Simple, secure; no push for output.
- **Piece rate:** $\text{wage} = \text{units} \times \text{rate per unit}$. Rewards output; no security.
- **Combined:** guaranteed time wage + piece earnings above it.

Taylor's differential piece rate

- By F.W. Taylor: rewards efficient workers, penalizes sluggish ones.
- Two rates: low (Eg 80%) below standard, high (Eg 120%) at or above.
- Example: standard 80 jobs/day (8 h), Rs 12/h $\rightarrow$ standard rate $12/10 = \text{Rs } 1.20$.
 - A makes 75: $75 \times 0.96 = \text{Rs } 72$.
 - B makes 85: $85 \times 1.44 = \text{Rs } 122.40$.

Halsey premium plan (1891)

- By Frederick A. Halsey, American engineer.
- Minimum wage guaranteed; standard time fixed per job.
- Time saved earns a fixed share (usually 50%) as bonus.
- $\text{Bonus} = \frac{1}{2}R(T_s - T_a)$; $\text{wage} = T_a R + \frac{1}{2}R(T_s - T_a)$.
- $T_s = 8$, $T_a = 6$, $R = \text{Rs } 10$: bonus Rs 10, wage **Rs 70**.

Rowan plan (1901)

- By James Rowan of Glasgow.
- Guaranteed minimum wage + bonus on part of the time saved.
- The share paid is the ratio time saved / standard time.
- $\text{Bonus} = \frac{T_s - T_a}{T_s} T_a R$. Peaks when $T_a = T_s/2$.

T_a	7	6	5	4	3	2	1
Rowan	8.75	15.00	18.75	20.00	18.75	15.00	8.75
Halsey	5.00	10.00	15.00	20.00	25.00	30.00	35.00

$T_s = 8$ h, $R = \text{Rs } 10$; bonus in Rs. Computed here (source table p184 is blank in the scan).

- Rowan pays more for small savings, Halsey more once over half the time is saved.
- Rowan protects against rate-cutting from careless standards.

Emerson efficiency plan

- By Harrington Emerson. Daily wage guaranteed; standard (100%) from past records.
- $\text{Efficiency} = \text{actual} / \text{standard output} \times 100$.
- Bonus scale:
 - Below 66.67%: time wage only.
 - 66.67–100%: bonus rising fast to 10% at 90% and 20% at 100%.
 - Above 100%: 20% + 1% per 1% extra.
- Example: Rs 40/day, standard 50 pins.
 - X 30 pins (60%): Rs 40. Y 50 (100%): Rs 48. Z 60 (120%): **Rs 56**.

Scanlon plan (group)

- By Joe Scanlon (USA). Guaranteed time wage.
- The standard labour-cost-to-sales ratio indexes total labour effectiveness; bonus = the % fall in that ratio.
- $\text{Bonus \%} = \frac{L_b/S_b - L_a/S_a}{L_b/S_b} \times 100$ (labour cost / sales).
- Example: base $1.35 / 12.40 = 10.887\%$; month $1.45 / 15.50 = 9.355\% \rightarrow$ bonus **14.07%**.
- With 2.15 lakh labour cost: $13.87\% >$ base, no bonus.

Priestman plan (group)

- $\text{Bonus \%} = \frac{P_a/W_a - P_b/W_b}{P_b/W_b} \times 100$ (output per worker).
- Example: standard 1200 cars / 500 workers = 2.4. Next month 1400 cars:
 - Same 500 workers $\rightarrow 2.8$, bonus **16.67%**.
 - 600 workers $\rightarrow 2.333$, -2.78% , no bonus.

Profit sharing

- Agreed % of annual profit shared with employees (Nepal's Labour Act and Bonus Act require a share of profit as bonus).

2.8 Industrial Relations and Collective Bargaining

Industrial relations; collective bargaining and its process 3 4 6

HOT 4/29 68 Ch, 67 Asa, 66 Bh, 65 Shr · 2065–2068 papers only verified/added

Industrial relations

- Relations between **management, workers (and their unions) and government** in an industry.
- Aim: **industrial peace**, higher productivity, fair treatment, no strikes or lockouts.
- **Tools:**
 - Collective bargaining; grievance procedure.
 - Joint consultation; workers' participation.
 - Conciliation, arbitration, labour courts.
- **Causes of poor relations:**
 - Low wages, bad working conditions.
 - Unfair dismissal.
 - Politically affiliated unions.
 - Poor communication.
- **Nepal:** Labour Act 2074, Trade Union Act 2049; frequent politically affiliated strikes.

Collective bargaining

- **Negotiation between employer and a union representing workers** on wages, hours, conditions, benefits.
- Result is a written **collective agreement**.

Process

Collective bargaining process



- Deadlock → conciliation, mediation, arbitration.

2.9 PYQ Mapping

Theory questions, covered in this document

- **Definition, functions, role of personnel management** → §2.1. 17 papers; HRM vs personnel management 71 Ch 2.
- **Personnel policy / employee handbook** → §2.2. 7 papers, 3 to 5; 75 Ash prints no marks against it.
- **Manpower / HR planning** → §2.3. 8 papers.
- **Recruitment and selection, steps of hiring, scientific selection, recruitment vs selection / hiring** → §2.4. 13 papers.
- **Outsourcing** 80 Bh 3, 69 Ch 2; **referral recruitment** 74 Ch 4; **interview** 75 Ch 3, 73 Ch 3 → §2.4.
- **Training: need, types, methods, training needs** → §2.5. 82 Ba 4, 81 Bh 3+2, 79 Bh 3, 72 Ch 4, 71 Shr 5
- **Talent poaching, development programme, appropriate HR** 79 Ba 4+4, 73 Shr 8 → §2.5.
- **Job analysis, job description, job specification, lecturer example, method for Nepal, job design** → §2.6. 10 papers.
- **Job evaluation vs merit rating** 81 Ba 3, 79 Bh 2; **merit rating / performance appraisal methods** (7 papers) → §2.6.
- **Wage vs salary, factors of wage structure, how wages are calculated, expected salary** → §2.7. 12 papers.
- **Incentives, why needed, incentive programs** → §2.7. 10 papers.
- **Industrial relations, collective bargaining** → §2.8. 68 Ch 4, 67 Asa 4+6, 66 Bh 6, 65 Shr 4+3

Short-note prompts placed here (2065–2068 ones from the Detailed PYQ's "Extra" section)

- Industrial relation 67 Asa, 65 Shr; collective bargaining 68 Ch; job design and work efficiency 67 Asa; incentive programs 68 Ba, 66 Bh; manpower planning 75 Ch.
- The Detailed PYQ files 66 Bh's "What do you mean by industrial relation? [6]" under Ch. 1 (organizational structure); it is answered here.

Numerical content

- **No paper in 29 sets a wage or incentive calculation.** The formulas in §2.7 answer the 3-mark “how are wages calculated?” (75 Ch) and are worth knowing in case a numerical appears.

Corrections to the source notes

- Adhikari p190, Priestman example (b): $(1400/600 - 1200/500)/(1200/500) = -2.78\%$, not -2.91% . The conclusion (no bonus) stands.
- Adhikari p181 spells the plan “Hasley”; it is the **Halsey** plan (F.A. Halsey).

Figures

- Adhikari’s Ch. 2 slides have no diagrams, so the few process figures kept are generated (ch2fig.py). Only diagrams an answer would draw are kept; no photos or decorative charts.

Abbreviations, chips and month codes

Only these are ever shortened. Anything not on this list is written out in full.

Short	Means	Short	Means
JSC	joint stock company	MNC	multinational company
HR, HRM	human resource (management)	OB	organizational behaviour
MBO	management by objectives	CEO, MD	chief executive officer, managing director
AGM	annual general meeting	ESOP	employee share ownership plan
MoA, AoA	memorandum / articles of association	OCR	Office of the Company Registrar
SEBON	Securities Board of Nepal	NEPSE	Nepal Stock Exchange
IPO	initial public offering	PAN, VAT	permanent account no., value added tax
NEA	Nepal Electricity Authority	NOC	Nepal Oil Corporation
QC	quality control	R&D	research and development
OR	operations research	ROI	return on investment
CIM	computer integrated manufacturing	FMS	flexible manufacturing system
CAD, CAM	computer aided design / manufacturing	CAPP	computer aided process planning
CNC	computer numerical control	AGV	automated guided vehicle
MIS	management information system	IT	information technology
SaaS	software as a service	BPO	business process outsourcing
CSR	corporate social responsibility	POSDCoRB	plan, organize, staff, direct, coordinate, report, budget

Short	Means	Short	Means
no.	number	info	information
vs, Vs	versus	Eg	example / for example
+Fig	draw a figure	(I)	importance / need / significance
→	leads to / therefore	+	and
=	is / equals	min, max	minimum, maximum
Ch.	chapter	§	section

Chip	Means (29 papers, 2065–2082 BS)
TOP n/29	asked in 8 or more papers
HOT n/29	asked in 4 to 7 papers
PIN n/29	asked in 1 to 3 papers, inside an 8-mark question
LOW n/29	asked in 1 to 3 papers, as a 4-mark short note only
syllabus, no PYQ yet	in the syllabus, never examined
4+4	marks as printed; several chips = the question recurred at different marks
verified/added	researched and added beyond the lecture notes
80 Bh	bold year = Regular exam; plain = Back exam

Months: Ba = Baishakh, Jth = Jestha, Asa = Ashad, Shr = Shrawan, Bh = Bhadra, Ash = Ashwin, Ka = Kartik, Mng = Mangsir, Po = Poush, Ma = Magh, Ch = Chaitra. **Ash and Asa are different months.** Sources: AJ Sir = AJ Sir’s lecture decks; Adhikari = Bikash Adhikari, *Organization and Management* slide notes; Joshi = S.K. Joshi, *Organization and Management*, A.K. Books.